HEDGEYE DAILY DIGEST

Monday, August 24, 2026 (GMT+8)

> *Keith McCullough went aggressively long into the mid-week equity drawdown, taking Real-Time Alerts to **12 longs versus 1 short** and his long-only book to its **maximum 30 positions** — the longest he has been since the "raging Quad 1 or 2" of roughly **2021**. The catalyst was not a forecast but a signal: **SPX only -2% from all-time highs**, positive gamma, decelerating volume, and a volatility regime still squarely in the Investable Bucket. Meanwhile the **US Dollar** printed fresh cycle lows on Treasury intervention, powering a **Gold**, **Euro**, **Yen** and — newly — **Bitcoin** breakout complex, while the monthly **Quad 3** → **Quad 1** transition frames the tactical roadmap into September.*

Hedgeye does not publish on weekends. This Monday edition therefore covers Friday, August 21 as "Today" and Thursday, August 20 as "Yesterday."

Today's Publications — Friday, August 21, 2026

EARLY LOOK — "A Parable Of An Old Fisherman"

Early Look · Sam Rahman, Portfolio Manager, Hedgeye Asset Management · 08/21/26 07:36 AM EDT

Friday's Early Look was written by **Sam Rahman** rather than Keith McCullough, and it traded the usual macro polemic for a meditation on duration. Rahman opens on **Norman Maclean's** *A River Runs Through It* and a fly-fishing lesson on the **Gallatin River** in western Montana — his first trip after moving to the US in **1997**. The guide's method was stillness: standing motionless in the current, reading the calm water around the rocks, then a single delicate flick of the wrist. Rahman made **fewer casts** the following day and **caught more fish**.

The investment translation is duration. "Time is our river," Rahman writes — and a change in the unit of measure "can make an investment decision right, then wrong, and then right again." A market that rises point-to-point over one year can get there via a fast, volatile path or a slow, smooth one; neither is the correct reading, they are simply different measurements.

The practical consequence is that **many of today's decisions require holding two opposing views simultaneously**: is **AI spending** a bubble or a returns-generating investment cycle? How fast does the latest **geopolitical upheaval** reshape commodity logistics? How far can **oil** fall short-term if flows continue leaking through the **Strait of Hormuz**? All of these have strong arguments on both sides — **your duration dictates which one matters** at any given moment. The implication for positioning is restraint over activity: markets reward observation, and forcing the outcome produces tangled lines rather than fish.

Risk Range™ Signals — 08/21/26

Asset	Risk Range	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.64 - 4.74	Bullish
High Yield (HYG)	79.41 - 79.83	Bullish
Investment Grade Corp Bonds (LQD)	105.4 - 106.8	Bearish
S&P 500 (SPX)	7610 - 7835	Bullish
NASDAQ Composite (COMPQ)	25813 - 26798	Bullish
Russell 2000 (RUT)	2976 - 3073	Bullish

Asset	Risk Range	TREND
Health Care Select Sector (XLV)	168 - 176	Bullish
S&P 500 Equal Weight (RSP)	219.00 - 225.00	Bullish
Expanded Tech-Software (IGV)	99.00 - 107.00	Bullish
Volatility Index (VIX)	13.90 - 16.54	Bearish
U.S. Dollar Index (USD)	98.24 - 99.91	Bearish
WTI Crude Oil (WTIC)	81.25 - 87.92	Bullish
Natural Gas (NATGAS)	2.62 - 2.91	Bearish
Gold Spot (GOLD)	4322 - 4617	Bullish
Copper Spot (COPPER)	6.46 - 6.70	Bullish
Silver Spot (SILVER)	64 - 71	Bullish

KM’S TOP 3 THINGS — KOSPI / GOLD / VIX

From The Desk · Keith McCullough · 08/21/26 07:09 AM EDT

McCullough’s framing was blunt: “**Big Buying Opportunities in plenty of places yesterday on red.**”

KOSPI. Despite **SPY** correcting for the third day in four — and still only **-2% from all-time highs** — on **decelerating volume**, the **KOSPI** closed green after breaking out above the Hedgeye TRADE Signal level of **6697**. That mattered because it coincided with renewed **Bullish TRADE and TREND signals in major US semis**, with **MU** and **MRVL** leading the **SPX** on the upside and **SNDK** also confirming.

Gold. The **Bullish TRADE and TREND breakout** extended, with Gold up another **+1.6%** as the **US Dollar** was, in McCullough’s words, “smoked to post US government intervention/manipulation lows.” He reiterated **Long Gold, Euros and Yens versus a USD short**. Both **Bitcoin** and **Silver** confirmed Bullish TREND breakout signals the same morning, and **Dr. Copper** ripped **+1.9%** — Hedgeye is long **ICOP**.

VIX. Thursday delivered what McCullough called “**panic-selling by people who don’t have our process**.” He took Real-Time Alerts to **12 longs and 1 short** and flagged widespread immediate-term TRADE **#oversold** signals across US equities. Critically, **nothing changed mathematically** in the US equity vol regime — **SPX remains in the Investable Bucket** where he buys dips aggressively, **gamma is still positive**, and 1-month realized vol should slice below 3-month post monthly **OPEX**. Immediate-term VIX downside sits at **13.90** — new cycle lows — paired with potential new all-time **SPX** highs at **7835**.

THE MACRO SHOW — SUMMARY NOTES & REPLAY

The Macro Show · Keith McCullough & Emma Vlasic · 08/21/26 10:05 AM EDT

Positioning shifted aggressively long. The long-only account hit its **maximum of 30 positions** and Real-Time Alerts widened to **12 longs vs 1 short** — approximately the longest McCullough has been since the last “raging Quad 1 or 2” environment around **2021**. He framed the shift as systematic, not discretionary: with the market down only **~2%** from the high inside an Investable volatility regime, the decline was an opportunity to raise gross and net exposure.

Semis improved materially. With **KOSPI** back above its immediate-term TRADE breakout and **SanDisk** / DRAM signals returning to Bullish TREND, McCullough characterised semiconductor momentum as bullish again — a deliberate reversal of his prior bearish stance. A **KOSPI move above 7,000**, he said, could drive a significant semi move into **Nvidia** earnings.

Gold/FX remains the high-conviction core. Long **Gold**, **Yen**, **Euro** against a **short US Dollar** — his largest short. He instructed subscribers not to sell those longs until they reach the **tops of their published**

Risk Ranges, and described the **Euro** as the most overbought of the three at the time of the show. He dynamically adds to whichever expression has fallen more and trims the extended one.

Volatility drove the buy-the-dip call. Financials showed extreme fear — a **77% implied-volatility premium** — and **Capital One (COF)** and **JPMorgan (JPM)** were bought in Real-Time Alerts, with **JPM** flagged as a buy on the open. Monthly **OPEX** mattered: 1-month realized vol moving below 3-month, plus **positive gamma**, should support positive equity flows.

International. Philippines (EPHE) was called the clearest Asian buying opportunity of the week — bought twice via Real-Time Alerts, supported by **three consecutive upcoming Quad 1 regimes**. **Long New Zealand (ENZL) / short Qatar (QAT)** is one of his favourite pairs in the book. **Brazil — important change:** McCullough called it his **biggest macro mistake of the last three months**, cited an approximate **-4% loss**, and said to **get out** despite attractive Quads, on deteriorating signal and developing political problems. **Colombia (COLO)** remains a buy-the-dip into another Quad 2 quarter; **Spain** is the strongest European signal, followed by **Greece**, with **Germany** still bullish.

New position. JEDI, the Drone & Warfare ETF, was bought this week as a growth expression within military spending.

Crypto flipped bullish — but he isn't chasing. Bitcoin moved from bearish to **Bullish TRADE and TREND**, which McCullough attributed partly to the government catalyst; staying short a bullish TREND would contradict the process. He explicitly called Bitcoin "**a long**" while noting he is not buying it here, preferring assets that are down. **Solana**, **Avalanche** and **XRP** also carry bullish TRADE/TREND signals.

Nvidia into earnings. Bullish TRADE and TREND, with Risk Range roughly **213 to 230**, TRADE support near **212** and TREND near **205**. The stock sold off ahead of the event; positioning and hedging dynamics should clarify Monday and Tuesday.

MOMO TRACKER — MAJOR US SEMIS SNDK, MU AND MRVL LED SPX

Momentum Stock Tracker · Christian Drake & Ryan Ricci · 08/21/26 08:39 AM EDT

Friday's Momentum Stock Tracker is a chart-and-data dashboard rather than a written note. The headline signal: **SNDK**, **MU** and **MRVL** were the leadership names in the **S&P 500**, corroborating the semiconductor signal recovery flagged in both KM's Top 3 and The Macro Show. The tracker uses Risk Range Signals as published that morning and does not reflect intraday updates.

CRYPTO QUANT — BTC (+6.4%)

Bitcoin Trend Tracker · Josh Steiner, Christian Drake, Matthew Cooper · 08/21/26 07:41 AM EDT

Bitcoin was up **+6.4%** overnight against the Bloomberg CFIX reference rate. The team noted they are on the road this week, so content is limited primarily to **Risk Range updates**; on-chain and anecdata sections resume next week. The move corroborates the Bullish TRADE/TREND breakout signal McCullough confirmed the same morning, driven by dollar weakness and the Treasury intervention catalyst.

SIGNAL STRENGTH STOCKS — 86 STOCKS

Signal Strength Stocks · 08/21/26 03:12 PM EDT

The list narrowed to **86 names** — **1 added, 2 removed**. **Added: CRWD** (CrowdStrike). **Removed: LMT** (Lockheed Martin), **DDOG** (Datadog). The Lockheed removal is notable against The Macro Show's commentary on shifting defence and aerospace trends alongside the new **JEDI** drone/warfare position.

CAPITAL ALLOCATION PRO — DAILY DASHBOARD

Capital Allocation Pro · Robert McGroarty, Andrew Nanai, David Salem · 08/21/26 09:40 AM EDT

No new model portfolio changes were announced. The most recent changes went into effect using **closing prices on Wednesday, August 19th, 2026**. TREND and TAIL levels for the **68 ETFs** in the universe were last refreshed using **July 31st** closing prices, consistent with the standard 3–4 week update cycle. The August **Monthly Commentary** posted **August 5th** and the latest Key Callouts video was recorded **August 6th**.

MACRO WEEK SUMMARY NOTES — AUGUST 21ST

From The Desk · 08/21/26 05:42 PM EDT

The weekly wrap-up publication, covering the Macro Dashboard, Weekly Macro Commentary, **VIX Gauge**, **U.S. Monthly Quad Forecast** and Chart of the Week. Full content sits behind a separate access link and was not retrievable in this run; the section headings above indicate scope.

Yesterday's Publications — Thursday, August 20, 2026

EARLY LOOK — "DOUBLE MAX MACRO!"

Early Look · Keith McCullough · 08/20/26 08:22 AM EDT

What: McCullough's Thursday Early Look, framed around **Brennan Manning's** *The Ragamuffin Gospel* and the idea that "**humility is always truth**" — the broken, honest, persistent investor beats the polished, certain one.

Why: The US Treasury's push for lower long-end yields and a weaker Dollar — which McCullough labels "**Yield Curve Control**," or plainly, market manipulation for political gain — is reinforcing Hedgeye's bullish positioning in **Gold**, **Euros**, **Yen** and now **Bitcoin**. He noted the government "saved Bitcoin," taking a direct swipe at **Michael Saylor** needing a Treasury bailout for his thesis.

Who: Treasury Secretary "**Bessy**" (Bessent) as the central actor; **Michael Saylor**; consensus hedge funds on the receiving end.

Key numbers: Gold breakout (**AAAU/GLD**) carries a USD TRENDING inverse correlation of **-0.93**; Wednesday's **Bitcoin** breakout immediately picked up a USD TRADE inverse correlation of **-0.88**. All three major currency longs — Gold, Euros, Yens — were signalling immediate-term TRADE **#Overbought** within Bullish TRENDs. **UST 2yr** yield broke immediate-term TRADE support weeks ago; **UST 10yr** remains Bullish TRADE and TREND at **4.63–4.74%**; the **10s–2s curve** is **+50bps** wide. Hedgeye's **August Inflation Nowcast** puts headline **CPI at +3.48% y/y**, **+1bp** above the prior estimate of **08/13** and **+12bps of sequential acceleration**. The Most Consensus Short **Healthcare** basket ramped **+6.4%**; core long **XLV** was **+3.5%**, one of its best days ever versus widely-held Tech (**XLK**).

Takeaway: Bessent needs both a down Dollar *and* a steepening yield curve to signal US economic acceleration — and the August inflation print should help deliver the latter. Front-run the intervention rather than judge it. Consensus hedge funds had one of their worst days of August; expect their bearish views to reflect their performance.

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THE MACRO SHOW — SUMMARY NOTES & REPLAY

The Macro Show · HAM Portfolio Managers Robert Patrick Kent & Sam Rahman · 08/20/26 10:12 AM EDT

What: A Macro Show hosted by HAM PMs rather than McCullough, covering the dollar as the central driver, an **Energy view change**, and the momentum unwind distorting the tape.

Why: RPK called the dollar the "**linchpin**" of current market action. The decline has accelerated his global dollar-liquidity measure, since a weaker dollar increases purchasing power outside the US and could increase willingness to own dollar-denominated assets.

Who: Robert Patrick Kent (RPK) and Sam Rahman; **Moderna/Merck** as the Healthcare catalyst; **Nvidia** as next week's event risk.

Key numbers: The dollar fell more than **1% over two days** and roughly **2.5% quarter-to-date**. **EUR/USD** long was becoming overbought around **1.171**. **Gold** rose nearly **4%** on the dollar move, with gold miners up high-single to low-double digits. **XLV +3.5%** versus the High Beta Momentum basket **-7.3%** — one of the strongest relative days for that pairing. Quarter-to-date, **XLU -2.9%** versus **XLV +10.7%**.

Position changes: XLV trimmed into strength (trimmed, not exited — the Healthcare view is unchanged). Part of the **XLU short covered** following the rates move. **Energy flipped bullish** — the clearest strategic change of the session, on resource constraints, falling inventories, tightening diesel availability, geopolitical disruption and further dollar weakness. Sam cautioned against chasing crude after the spike, favouring **refiners and oilfield services** where the case does not require crude to rise indefinitely, and flagged a multi-year reorientation of commodity supply chains toward the **Western Hemisphere**.

Takeaway: Treasury's buyback pushed 10s and 30s lower temporarily but the 2-year barely moved and most of the long-end rally reversed intraday — RPK argues durable curve control requires **Fed balance-sheet participation**, making **Jackson Hole** the key test of whether the Fed will cooperate. The regime remains **Monthly Quad 3** with the model forecasting a move toward **Monthly Quad 1** next month — a forecast, not a completed transition. Tactically: use volatility rather than chase it, and look for **Signal Strength** names near the low end of their Risk Ranges. The short squeeze and momentum unwind may reflect portfolio mechanics as much as fundamentals, with **month-end** a potential natural endpoint.

MOMO TRACKER — HIGH BETA MO BASKET COLLAPSING -7.3% DOD

Momentum Stock Tracker · 08/20/26 07:23 AM EDT

What: Thursday's momentum dashboard captured the violent unwind in crowded momentum longs.

Key numbers: The **High Beta Momentum basket** collapsed a further **-7.3% day-over-day**, while widely-held Tech (**XLK**) fell **-1.1% DoD**.

Takeaway: The magnitude of the divergence between the high-beta momentum basket and broad tech is the signature of forced deleveraging rather than a fundamental repricing — consistent with the hedge-fund liquidation dynamics described on The Macro Show.

SIGNAL STRENGTH STOCKS — 87 STOCKS

Signal Strength Stocks · 08/20/26 03:44 PM EDT

What: The list moved to **87 names** — **3 added, 6 removed**.

Key names: Added: HLT (Hilton), **WRBY** (Warby Parker), **NOW** (ServiceNow). **Removed: FCFS**, **SITM**, **BA** (Boeing), **PRMB**, **HD** (Home Depot), **NBIS**.

Takeaway: Net removals outpaced additions two-to-one, with **BA** and **HD** dropping out — consistent with the aerospace/defence and consumer signal deterioration described elsewhere in the day's research.

CAPITAL ALLOCATION PRO — DAILY DASHBOARD

Capital Allocation Pro · 08/20/26 08:18 AM EDT

What: The daily model portfolio dashboard, with changes reflecting the **August 19th** effective date. No new portfolio actions were announced on the day.